

Brightwater Capital Partners III, L.P.

Audited Financial Statements - FY2025 | Vyntic token: financial_statements

1. Independent Auditor's Report

Huxley Markham & Co. LLP, independent auditors, have audited the accompanying fictional financial statements of Brightwater Capital Partners III, L.P. as of and for the year ended December 31, 2025. In our opinion, the financial statements present fairly, in all material respects, the financial position of the Partnership in accordance with accounting principles generally accepted in the United States of America.

Audit opinion procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing audit opinion provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to audit opinion eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.

2. Statement of Assets and Liabilities

The Partnership is an \$850,000,000 2021 vintage private equity fund. The figures below are presented in thousands except where noted and are fictional.

Statement of assets and liabilities procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing statement of assets and liabilities provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

Assets / Liabilities	December 31, 2025
Investments, at fair value	\$610,000
Cash and restricted cash	\$18,750
Receivables and other assets	\$7,250
Total assets	\$636,000
Subscription facility payable	(\$21,000)
Accrued expenses and management fees	(\$5,000)
Partners' capital / NAV	\$610,000

3. Statement of Operations

For the year ended December 31, 2025, the Partnership recorded investment income of \$8.5 million, management fees of \$17.0 million, partnership expenses of \$4.1 million, realized gains of \$42.0 million and net unrealized appreciation of \$88.6 million.

Statement of operations procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing statement of operations provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to statement of operations eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.

4. Schedule of Investments

The following portfolio-company schedule is summarized and excludes immaterial escrow, cash and tax-basis details.

Schedule of investments procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing schedule of investments provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

Portfolio Company	Sector	Cost	Fair Value
Amerin Gauge Systems	Engineered measurement components	\$105,000	\$128,000
Caldera Flow Controls	Specialty valves and flow control	\$142,000	\$181,000
Northline Fabrication	Precision metal fabrication	\$84,000	\$92,000
Vantage Field Services	Facility compliance services	\$119,000	\$155,000
Other investments	Various	\$75,000	\$54,000
Total		\$525,000	\$610,000

5. NAV Roll-Forward

Capital activity and portfolio appreciation during 2025 supported Fund III's trajectory into the 2026 reporting period. Cumulative paid-in capital at year-end was approximately \$525.0 million, cumulative distributions were \$170.0 million and NAV was \$610.0 million.

NAV roll-forward procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing nav roll-forward provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

Roll-forward	Amount
Beginning partners' capital	\$420,400
Capital contributions	\$90,000
Distributions	(\$55,000)
Management fees and expenses	(\$21,100)
Realized and unrealized gains	\$175,700
Ending partners' capital / NAV	\$610,000

6. Notes to Financial Statements

Investments are carried at fair value as determined in good faith by the General Partner under the Partnership's valuation policy. The Partnership uses Level 3 inputs for privately held portfolio companies.

Management fees are charged in accordance with the Partnership Agreement. Transaction and monitoring fee offsets are applied based on governing documents and related disclosures.

The Partnership may use a subscription facility to bridge capital calls and manage short-term liquidity. Borrowings are expected to be repaid from limited partner capital contributions.

Notes to financial statements procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing notes to financial statements provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to notes to financial statements eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.